DGFT Interest Equalization and RoDTEP Export Incentive Schemes for MSMEs

Issuing Authority: Directorate General of Foreign Trade, Ministry of Commerce and Industry, Govt. of India

1. Interest Equalization Scheme (IES) on Pre and Post Shipment Credit

The Interest Equalization Scheme provides an upfront 3% interest rebate (subvention) on pre-shipment and post-shipment export credit for all MSME manufacturer exporters across all export tariff lines. The lending bank directly deducts 3% from the borrower's interest rate, claiming reimbursement from the Reserve Bank of India.

2. Remission of Duties and Taxes on Exported Products (RoDTEP)

The RoDTEP Scheme refunds embedded central, state, and local duties/taxes (electricity duty, VAT on fuel used in transport, mandi tax, stamp duty) that are not refunded under standard GST refund mechanisms. Rebates range from 0.5% to 4.3% of the Free on Board (FOB) export value.

3. Electronic Transferable Duty Scrips

RoDTEP rebates are issued in the form of transferable electronic duty credit scrips credited to the exporter's ledger on the ICEGATE portal. The scrips can be used to pay basic customs duties on imported raw materials or sold on the open market for instant cash liquidity.

4. Coverage Across High-Employment MSME Sectors

Covers over 10,000 export tariff lines, providing competitive parity to Indian MSME exporters in engineering, textiles, leather, marine, chemicals, handicraft, and agricultural goods against global competitors.